FINANCIAL DILIGENCE SUPPORT - RECORD 015

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-015

1. Scope, periods reviewed and basis of the engagement

This file forms part of a buy-side quality-of-earnings review of Helioscope Robotics, Inc. and states its own scope before any figure is presented. By reference,, post-cut-off trading was reviewed only to July 2026 and only for evidence bearing on balances at the cut-off; it is not a basis for any forward projection. In the file,, consolidation covers the parent and the Ontario deployment subsidiary; the dormant Delaware holding entity has no activity in the period and was excluded after inspection of its trial balance.

As to the facts,, reconciliation differences are reported at the amount found, including small residuals, rather than being described as immaterial and omitted. On testing,, revenue recognition decisions are made contract by contract without a standing checklist, so treatment depends on who prepared the memorandum. On this point,, where an exception is identified, the reviewer states the population, the value tested, the coverage achieved and the projected effect before proposing any adjustment. HC-2144 (Vantage Cold Storage) runs 36 months from 2026-04-07. On the evidence,, hardware, subscription and a validation obligation similar in structure to the Meridian contract but with a fixed-fee validation. Under Vantage Cold Storage, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. Vantage Cold Storage carries contracted hardware of $1,368,700, annual subscription value of $704,500 and a deployment fee of $186,500 across the contracted term. On Vantage Cold Storage, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. The pending change request is disclosed as an open item because it may create variable consideration in the period after the cut-off.

As to the facts,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap. On reperformance,, inventory quantities rest on perpetual records because the reviewer did not observe the June 2026 count and the count sheets were only partially made available. On inspection,, management represented that the extended warranty added to one contract is immaterial as a separate performance obligation, without providing a quantification. Per the index, Umberland Freight contracted under HC-2139 on 2026-03-13. In sequence,, a retrofit contract where existing customer equipment is integrated, so the hardware element is smaller and the services element larger than the population average. No amendments; the contract includes a customer-favourable acceptance test that delayed transfer by five weeks. Commercially Umberland Freight carries contracted hardware of $618,200, annual subscription value of $342,700 and a deployment fee of $92,000 over 24 months. The delayed acceptance was correctly reflected, and the contract was retained in the sample as evidence that the acceptance control operates. Under Umberland Freight, a second preparer reperformed the arithmetic and reached the same figure to the dollar.

In review,, sampling was stratified by value with full coverage above a stated threshold and a haphazard selection below it, and the threshold is disclosed in the relevant schedule. Per the register,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. In the file,, interim balances at 2026-06-30 have not been subject to a physical inventory count observed by the reviewer; the June count sheets were requested and only partially provided. HC-2074 (Granite Peak Distribution) runs 36 months from 2025-01-16. On its facts,, three phases of hardware with separate acceptance, a subscription priced per active unit, and a deployment obligation including layout simulation delivered before installation. Under Granite Peak Distribution, the item was raised in the interim update and is carried forward unchanged into this file. Granite Peak Distribution carries contracted hardware of $2,746,100, annual subscription value of $1,312,700 and a deployment fee of $386,000 across the contracted term. An August 2025 amendment added a service level commitment with credits, and a May 2026 amendment accelerated phase three. The layout simulation was delivered and billed in advance of installation; testing confirmed it is capable of being distinct and was recognized on delivery.

2. Borrowings, leases and items argued to be debt-like

The reviewer records the seller's argument alongside its own on each item, so the schedule remains useful to whoever conducts the negotiation. Per the register,, each adjustment records who proposed it, because an item put forward

by management and an item found in diligence carry different evidential weight. On the merits,, every schedule ties from a named source system extract to the reported figure through individually identified differences.

At the cut-off, the net debt schedule carries sales and use tax exposure - three states at $284,700, provisionally classified as tax exposure. On the merits,, no returns were filed in three states where the company has installed hardware and field staff, and the exposure is quantified with interest. Management holds a nexus opinion from its advisers concluding that installation activity alone does not create a filing obligation. For Sales and use tax, no projection was made from this item because it arises from a single identifiable event. On Sales and use tax, a small residual difference remains and is reported rather than described as immaterial and omitted. On the balance, on unfunded paid time off liability the balance is $468,900 and the classification question is live. The counter is that the liability is stable, self-renewing, and behaves like a permanent feature of working capital. From the extract,, accrued leave is a settled obligation to employees earned in pre-closing periods and is payable in cash on departure. Split treatment: the balance in excess of the trailing twelve-month average is treated as debt-like and the stable core stays in working capital. On Unfunded paid time off, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. Finance lease - Fremont production floor equipment stands at $684,300. On the balance,, the lease transfers substantially all risks and rewards and appears on the balance sheet as a lease liability. On Finance lease Fremont, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. Against that, the counter is that the equipment is essential and the lease replaces an operating cost the buyer would incur anyway. For Finance lease Fremont, the conclusion is stated at the low end of the supportable range, as the file convention requires. Finance lease Fremont is carried at a working classification of capital lease.

On the substance, the classification work reaches earn-out accrual - larkspur controls at $214,000, provisionally classified as contingent consideration. In review,, the accrual represents an obligation measured at fair value under FASB ASC Topic 820 and will be settled in cash. Because settlement depends on a revenue threshold that has not been met, the seller argues no obligation exists at the measurement date. Left as an open item; the reviewer records the range rather than adopting a single treatment. On Earn-out accrual Larkspur, the evidence was inspected in original form rather than as a management-prepared summary. In substance, on cash held in the ontario deployment subsidiary the balance is $184,900 and the classification question is live. The reviewer notes intercompany settlement has historically taken six weeks, so availability is not immediate. As to the facts,, the balance is unrestricted and available to the group without withholding cost. Treated as cash; the settlement lag is noted as a timing rather than a valuation issue. On Cash held in the, the file records the question asked, the answer given and the document that settled it. In the event, turning to accrued employer payroll taxes on the bonus at $84,600, provisionally classified as debt-like. On the documents,, the payroll tax follows the bonus and is an unavoidable incremental cash cost of settling it. The seller argues payroll taxes are ordinary course and belong in accrued liabilities inside working capital. For Accrued employer payroll taxes, the item was traced from the summary schedule through the sub-ledger to the source document. On Accrued employer payroll taxes, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment.

On the merits, on undeposited receipts at the measurement date the balance is $68,400 and the classification question is live. Two of the cheques had not cleared by the time the reconciliation was prepared. On the record,, cheques received and recorded but not yet deposited are company funds evidenced by the receipt log. Treated as cash with the uncleared items identified so the bank reconciliation still ties. On Undeposited receipts at the, the explanation offered was plausible and was still corroborated against a document before being accepted. On the evidence, the classification work reaches supplier deposits paid on second-generation tooling at $312,800, provisionally classified as non-debt. By agreement,, the deposits are recoverable in cash if the tooling order is cancelled. They are prepayments toward capital expenditure the buyer will receive the benefit of, not a liquid asset. For Supplier deposits paid on, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. On Supplier deposits paid on, the item was traced from the summary schedule through the sub-ledger to the source document. In review, included for completeness is customer credits and unapplied cash owed at $196,400, provisionally classified as debt-like. By agreement,, these are amounts the company owes customers for overpayments and service credits, with no offsetting benefit to the buyer. Management argues most balances are resolved within a quarter through future billings rather than cash refunds. Treated as debt-like where the customer has requested a refund, and left in working capital where it will be applied to future invoices. On Customer credits and unapplied, the evidence was inspected in original form rather than as a management-prepared summary.

Schedule 15.1 - Net debt and debt-like item schedule

Item	Balance ($)	Classification	Debt-like argument	Counter-argument	Treatment adopted
Accrued discretionary bonus - FY2026 plan	642,800	Debt-like	The bonus relates to performance in periods before closing and would b	The plan is discretionary and the board has withheld payment before, m	Treated as debt-like on the basis that the service period is pre-closi
Accrued employer payroll taxes on the bonus	84,600	Debt-like	The payroll tax follows the bonus and is an unavoidable incremental ca	The seller argues payroll taxes are ordinary course and belong in accr	Treated consistently with the bonus itself and excluded from the worki
Cash held in the Ontario deployment subsidiary	184,900	Cash-like	The balance is unrestricted and available to the group without withhol	The reviewer notes intercompany settlement has historically taken six	Treated as cash; the settlement lag is noted as a timing rather than a
Customer credits and unapplied cash owed	196,400	Debt-like	These are amounts the company owes customers for overpayments and serv	Management argues most balances are resolved within a quarter through	Treated as debt-like where the customer has requested a refund, and le
Deferred consideration - Larkspur Controls acq	486,500	Deferred consideration	The remaining instalment is a fixed obligation payable in January 2027	Management asserts part of the balance is contingent on the retention	The fixed instalment is treated as debt; the retention-contingent port
Deferred rent incentive on the Fremont lease	142,600	Non-debt	The balance is a liability on the face of the balance sheet and reduce	It represents an accounting allocation of a landlord incentive rather	Excluded from net debt and from the working capital peg to avoid disto
Earn-out accrual - Larkspur Controls	214,000	Contingent consideration	The accrual represents an obligation measured at fair value under FASB	Because settlement depends on a revenue threshold that has not been me	Left as an open item; the reviewer records the range rather than adopt
Equipment finance facility - Wetherby Capital	2,846,500	Funded debt	The facility is interest-bearing with a fixed amortization schedule an	Management notes the assets financed are productive and would be repla	Treated as debt at the outstanding principal plus accrued interest to
Operating lease - Fremont facility	4,186,200	Operating lease	The recorded lease liability is a contractual obligation to pay money,	The rent is already inside EBITDA as an operating cost, so counting th	Excluded from net debt because rent remains in the earnings measure; d
Payroll tax exposure - contractor classificati	168,400	Tax exposure	Field contractors engaged before the February 2026 conversion may be r	The November 2025 settlement with a former contractor released claims	Treated as debt-like at a reduced amount; the settlement release limit
Restricted cash securing the customer performa	246,500	Cash-like	The balance is company cash and will be released when the Kadence go-l	Because the cash cannot be accessed at closing, a buyer would not coun	Excluded from cash at closing and disclosed; the release condition is
Revolving line of credit - Fremont Commercial	1,200,000	Funded debt	Drawn amounts bear interest and are repayable on demand under the faci	The seller argues the revolver funds seasonal working capital and shou	Treated as debt; the working capital peg is defined excluding revolver
Severance committed but unpaid at the measurem	96,800	Debt-like	Two separation agreements signed before the measurement date carry ins	Management argues the remaining instalments are contingent on continue	Treated as debt-like; the cooperation clauses do not create a genuine
Supplier deposits paid on second-generation to	312,800	Non-debt	The deposits are recoverable in cash if the tooling order is cancelled	They are prepayments toward capital expenditure the buyer will receive	Excluded from both cash and working capital; disclosed within the capi
Undeposited receipts at the measurement date	68,400	Cash-like	Cheques received and recorded but not yet deposited are company funds	Two of the cheques had not cleared by the time the reconciliation was	Treated as cash with the uncleared items identified so the bank reconc
Unfunded paid time off liability	468,900	Debt-like	Accrued leave is a settled obligation to employees earned in pre-closi	The counter is that the liability is stable, self-renewing, and behave	Split treatment: the balance in excess of the trailing twelve-month av
Unpaid transaction and success fees	386,400	Debt-like	Adviser fees triggered by the transaction are pre-	Some engagement letters make the fee payable only on a	Treated as a seller obligation in the funds flow rather

Item	Balance ($)	Classification	Debt-like argument	Counter-argument	Treatment adopted
			closing obligations	completed trans	than in net de

3. Peg construction, sensitivity and definitional choices

The reviewer computed the level under several definitions rather than one, because the sensitivity of the peg to the definition is itself a negotiating fact. In the file,, the reviewer reperformed rather than reviewed management's own calculations wherever the calculation drives an adjustment. On the source,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter.

In detail, the net debt schedule carries finance lease - service vehicle fleet at $246,800, provisionally classified as capital lease. On reperformance,, fourteen vehicles are held under leases that run to term with bargain purchase options. Management argues short-remaining-term vehicle leases behave like a recurring operating cost. Treated as debt; the reviewer notes the aggregate is small enough that either treatment is defensible. On Finance lease service, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. In this stream, included for completeness is customer credits and unapplied cash owed at $196,400, provisionally classified as debt-like. Taken alone,, these are amounts the company owes customers for overpayments and service credits, with no offsetting benefit to the buyer. Management argues most balances are resolved within a quarter through future billings rather than cash refunds. Treated as debt-like where the customer has requested a refund, and left in working capital where it will be applied to future invoices. On Customer credits and unapplied, no further procedures were considered necessary once the source document had been inspected. On the source, on deferred consideration - larkspur controls acquisition the balance is $486,500 and the classification question is live. Management asserts part of the balance is contingent on the retention of two engineers. On a second read,, the remaining instalment is a fixed obligation payable in January 2027 regardless of performance. The fixed instalment is treated as debt; the retention-contingent portion is left as an open item pending the retention agreements. On Deferred consideration Larkspur, the amount was agreed to the underlying system extract without a residual difference.

On the record, also argued in both directions is deferred rent incentive on the fremont lease at $142,600, provisionally classified as non-debt. In the file,, the balance is a liability on the face of the balance sheet and reduces net assets. It represents an accounting allocation of a landlord incentive rather than money owed to anyone. For Deferred rent incentive on, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. On Deferred rent incentive on, the reviewer recorded that no comparable item was found in the two earlier periods examined. Read narrowly, the classification work reaches equipment finance facility - wetherby capital at $2,846,500, provisionally classified as funded debt. Per the workpaper,, the facility is interest-bearing with a fixed amortization schedule and a prepayment fee, so it is unambiguously borrowed money. Management notes the assets financed are productive and would be replaced with new borrowing in any case. Treated as debt at the outstanding principal plus accrued interest to the measurement date. On Equipment finance facility -, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. Cash held in the Ontario deployment subsidiary stands at $184,900. Per the register,, the balance is unrestricted and available to the group without withholding cost. On Cash held in the, the evidence was inspected in original form rather than as a management-prepared summary. Against that, the reviewer notes intercompany settlement has historically taken six weeks, so availability is not immediate. Treated as cash; the settlement lag is noted as a timing rather than a valuation issue. Cash held in the is carried at a working classification of cash-like.

In substance, on operating lease - fremont facility the balance is $4,186,200 and the classification question is live. The rent is already inside EBITDA as an operating cost, so counting the liability as debt charges the same obligation twice. From the extract,, the recorded lease liability is a contractual obligation to pay money, which some buyers treat as debt-like. For Operating lease Fremont, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. On Operating lease Fremont, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. On the documents, a contested item is revolving line of credit - fremont commercial bank at $1,200,000, provisionally classified as funded debt. On its facts,, drawn amounts bear interest and are repayable on demand under the facility's borrowing base test. The seller argues the revolver funds seasonal working capital and should be netted inside the working capital peg instead. For Revolving line of credit, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. On Revolving line of credit, the reviewer left the amount unchanged after review but strengthened the evidence reference. Against the ledger, the schedule presents payroll

tax exposure - contractor classification at $168,400, provisionally classified as tax exposure. On this point,, field contractors engaged before the February 2026 conversion may be reclassified, creating employer tax and penalty exposure. The November 2025 settlement with a former contractor released claims and management treats the matter as closed. Treated as debt-like at a reduced amount; the settlement release limits but does not eliminate the exposure. On Payroll tax exposure -, reperformance used the contractual rate rather than the rate management had applied.

Schedule 15.2 - Monthly working capital build

Month	Receivables ($)	Unbilled ($)	Inventory ($)	Prepaid ($)	Payables ($)	Accrued ($)	Deferred revenue ($)	Net working capital ($)
2024-03	5,525,080	2,368,792	3,118,459	442,388	(2,428,922)	(1,159,350)	(4,942,369)	2,924,078
2024-04	6,369,718	1,446,709	2,388,976	348,768	(2,120,544)	(1,668,190)	(5,102,147)	1,663,290
2024-05	4,559,707	1,055,700	2,873,352	582,380	(3,843,399)	(1,985,108)	(6,033,873)	(2,791,241)
2024-06	3,184,525	1,408,149	2,365,558	767,375	(3,125,695)	(2,081,220)	(6,240,660)	(3,721,968)
2024-07	3,834,863	1,225,220	2,811,836	641,205	(2,746,946)	(1,713,949)	(6,342,301)	(2,290,072)
2024-08	6,385,699	1,221,920	2,859,757	603,786	(3,149,323)	(2,339,825)	(6,537,614)	(955,600)
2024-09	6,025,865	2,250,670	2,814,080	725,568	(1,708,490)	(1,553,139)	(6,412,614)	2,141,940
2024-10	6,785,867	1,961,400	2,012,419	403,720	(3,339,405)	(1,303,379)	(5,405,386)	1,115,236
2024-11	5,452,913	643,703	2,233,219	709,278	(2,240,822)	(1,220,169)	(4,631,877)	946,245
2024-12	4,814,557	2,252,146	2,058,645	625,724	(2,309,360)	(2,132,404)	(5,091,592)	217,716
2025-01	3,520,689	1,130,254	2,770,784	465,765	(2,103,720)	(1,492,151)	(5,092,709)	(801,088)
2025-02	5,292,903	1,664,558	2,902,422	522,556	(1,657,542)	(2,223,548)	(4,267,016)	2,234,333
2025-03	6,327,407	2,027,345	2,333,297	380,002	(1,915,940)	(1,763,161)	(4,171,696)	3,217,254
2025-04	3,592,502	1,344,381	2,547,089	604,488	(3,853,354)	(2,163,939)	(4,524,634)	(2,453,467)
2025-05	4,066,127	2,206,013	3,105,363	444,955	(3,867,198)	(1,575,421)	(5,121,055)	(741,216)
2025-06	5,363,186	749,626	2,372,011	597,010	(2,970,933)	(1,418,550)	(5,213,918)	(521,568)
2025-07	3,335,411	2,376,535	2,865,115	557,214	(1,712,965)	(1,800,087)	(4,982,334)	638,889
2025-08	3,384,486	1,683,622	3,391,969	730,364	(1,789,694)	(1,203,336)	(5,058,397)	1,139,014
2025-09	4,732,810	1,589,051	2,625,689	741,214	(2,384,623)	(2,258,806)	(5,512,373)	(467,038)
2025-10	4,145,578	733,377	2,428,987	498,481	(1,850,741)	(1,138,344)	(6,439,905)	(1,622,567)
2025-11	4,053,890	1,817,513	2,867,095	552,977	(3,676,040)	(1,328,587)	(6,824,803)	(2,537,955)
2025-12	6,692,218	2,011,324	3,059,472	733,712	(2,510,873)	(1,623,902)	(7,115,885)	1,246,066
2026-01	6,486,599	2,176,102	2,942,106	455,077	(3,648,294)	(1,222,066)	(7,699,506)	(509,982)
2026-02	3,358,029	1,205,830	2,799,317	780,315	(2,854,937)	(958,248)	(7,916,683)	(3,586,377)

4. Unbilled amounts, deposits and the working capital they create

The billing profile of each contract determines whether cash arrives before or after the cost of delivery, which is what drives the monthly working capital swing. In review,, certain amounts described here as agreed were agreed with management during fieldwork and have not been re-presented in a revised set of financial statements. On reperformance,, approver fields are blank on a subset of journal entries, which prevents any conclusion on the operation of the journal approval control during the affected periods.

HC-2081 (Harborline Systems) runs 18 months from 2025-03-08. On the source,, a proof-of-concept converted to a production contract, with the original pilot fee credited against the first production invoice. Under Harborline Systems, the item was projected across the population on the basis stated in the accompanying schedule. Harborline Systems carries contracted hardware of $486,900, annual subscription value of $264,000 and a deployment fee of $74,500 across the contracted term. The conversion in November 2025 was documented as a new contract rather than a modification, which changes how the credited pilot fee is treated. Pilot fees were recognized on invoice eleven weeks before the service window began, which the reviewer adjusted. HC-2139 (Umberland Freight) runs 24 months from 2026-03-13. Against the ledger,, a retrofit contract where existing customer equipment is integrated, so the hardware element is smaller and the services element larger than the population average. Under Umberland Freight, the reviewer notes that management agreed the facts while reserving its position on the treatment. Umberland Freight carries contracted hardware of $618,200, annual subscription value of $342,700 and a deployment fee of $92,000 across the contracted term. No amendments; the contract includes a customer-favourable acceptance test that delayed transfer by five weeks. The delayed acceptance was correctly reflected, and the contract was retained in the sample as evidence that the acceptance control operates. HC-2115 (Quarrybrook Fulfilment) runs 24 months from 2025-10-02. At the cut-off,, a single site with hardware, subscription and a light onboarding obligation delivered over four weeks. Under Quarrybrook Fulfilment, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. Quarrybrook Fulfilment carries contracted hardware of $542,600, annual subscription value of $296,800 and a deployment fee of $68,000 across the contracted

term. On Quarrybrook Fulfilment, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. For Quarrybrook Fulfilment, the reviewer confirmed the amount does not also sit within the working capital peg.

HC-2069 (Fathom Mobility) runs 30 months from 2024-11-21. On inspection,, one retrofit site with hardware transferring in two tranches, a subscription that begins at first tranche go-live, and an integration obligation delivered by a subcontractor. Under Fathom Mobility, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. Fathom Mobility carries contracted hardware of $918,500, annual subscription value of $486,000 and a deployment fee of $124,000 across the contracted term. On Fathom Mobility, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. The extended warranty was not evaluated as a separate obligation; management asserted immateriality without quantifying it. In detail, testing reached HC-2041 with Asterion Logistics, signed 2024-02-14 for 36 months and carrying contracted hardware of $1,842,600, annual subscription value of $964,800 and a deployment fee of $214,000. On the evidence,, twenty-eight mobile units transfer on site acceptance, the fleet orchestration subscription runs monthly over the term, and a non-refundable commissioning fee covers eleven weeks of on-site work. A March 2025 amendment added six units at the original unit price and extended the term by nine months without repricing the subscription. For Asterion Logistics, the reviewer declined to net this item against another with an opposite direction in the same period. Under Asterion Logistics, the item is presented gross so that a reader can rebuild the measure from reported results. HC-2150 (Westbourne Grocery) runs 18 months from 2026-05-19. By agreement,, a short-term contract taken to test a smaller-format cell, with hardware, subscription and a minimal onboarding element. Under Westbourne Grocery, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. Westbourne Grocery carries contracted hardware of $384,500, annual subscription value of $212,400 and a deployment fee of $54,000 across the contracted term. No amendments; the customer has an option to convert to a thirty-six month term at a stated price. For Westbourne Grocery, the item was selected for testing because of its characteristics rather than its size.

Per the workpaper, the population includes HC-2063 with Evergreen Warehousing, signed 2024-09-05 for 36 months and carrying contracted hardware of $2,104,300, annual subscription value of $1,128,400 and a deployment fee of $268,500. From the extract,, two distribution centres take hardware on acceptance, share a single subscription measured by active units, and buy an onboarding package that includes operator training. A July 2025 amendment reduced the unit count by four following a layout change and issued a partial credit against the deployment fee. An overpayment received in March 2026 was applied to revenue rather than held as a customer credit, which testing identified as an unrecorded liability. Under Evergreen Warehousing, the item was raised in the interim update and is carried forward unchanged into this file. On the record, the population includes HC-2086 with Kadence Industrial Holdings, signed 2025-04-24 for 60 months and carrying contracted hardware of $4,128,700, annual subscription value of $2,046,500 and a deployment fee of $612,000. As matters stand,, the largest contract in the population: five facilities, staged hardware transfer, a master subscription with volume tiers, and a managed deployment obligation with a dedicated crew. Three amendments across 2025 and 2026 adjusted the facility sequence, added a spare parts pool and introduced an annual price escalator. For Kadence Industrial Holdings, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. Under Kadence Industrial Holdings, the item was raised in the interim update and is carried forward unchanged into this file. HC-2156 (Yarrow Distribution Partners) runs 36 months from 2026-06-04. Per the workpaper,, signed within the final month of the review period, with no revenue recognized by the cut-off and a deployment fee invoiced in advance. Under Yarrow Distribution Partners, no further procedures were considered necessary once the source document had been inspected. Yarrow Distribution Partners carries contracted hardware of $1,582,300, annual subscription value of $786,200 and a deployment fee of $214,500 across the contracted term. On Yarrow Distribution Partners, the reviewer declined to net this item against another with an opposite direction in the same period. Because no performance had occurred, the entire invoice should sit in deferred revenue; testing confirmed it does.

Schedule 15.3 - Information request register

Request	Description	Owner	Requested	Received	Status	Effect if unresolved
IR-014	Signed acceptance certificate for Crestline site three	Seller - deployment lead	2026-06-18	Not received	Open	Without a dated certificate the transfer month rests on the installer's
IR-023	State nexus	Seller - tax	2026-06-19	2026-07-02	Received - under	The exposure

Request	Description	Owner	Requested	Received	Status	Effect if unresolved
	opinion supporting no sales tax filings	adviser			review	remains a range until the opinion's scope is compared with
IR-034	Board minutes evidencing the December 2024 bonus decisio	Seller - company secretary	2026-06-20	2026-07-08	Received - insufficient	The minutes record the decision but not the plan terms, so the reviewer
IR-038	Warranty claim detail by chassis generation	Seller - service manager	2026-06-23	2026-07-01	Closed	The detail supported the recalculated accrual rate and the adjustment wa
IR-041	Engagement letters for all adviser fees in the period	Seller - finance director	2026-06-23	Partially received	Open	Two invoices remain unsupported, so the split between transaction and or
IR-045	Fixed asset additions traced to underlying engineering t	Seller - engineering manager	2026-06-24	2026-07-06	Received - under review	The capitalization reclassification could change if further tickets supp
IR-052	Bank statements for the Ontario subsidiary for the full	Seller - controller	2026-06-25	Partially received	Open	Two months are missing, so cash proof coverage for the subsidiary is bel
IR-056	Payroll register reconciled to the general ledger by mon	Seller - payroll manager	2026-06-25	2026-07-09	Closed	The reconciliation supported the compensation analysis and the annualiza
IR-059	Hosting agreement effective 2026-04-30 with the rate car	Seller - IT director	2026-06-26	2026-06-30	Closed	The agreement supported the contractual portion of the hosting savings a
IR-063	Contractor conversion offer letters and prior agency rat	Seller - HR director	2026-06-26	2026-07-07	Received - under review	Employer tax and benefit loading on the converted population is still be
IR-067	Supplier settlement letter for the harness rework recove	Seller - procurement	2026-06-29	2026-07-02	Closed	The letter confirmed the recovery amount and allowed the campaign to be
IR-071	Aged unbilled receivable detail with billing triggers	Seller - project accountant	2026-06-29	Not received	Open	Without billing triggers the reviewer cannot distinguish unbilled amount
IR-078	Journal entry extract with preparer and approver fields	Seller - systems administrator	2026-06-30	2026-07-04	Closed	The extract enabled the exception testing; approver fields are blank for
IR-085	Commission plan documents for all sales roles	Seller - sales operations	2026-07-01	2026-07-08	Closed	The plans supported the commission true-up and confirmed the accrual bas
IR-088	Analysis of the Pinecrest option pricing against list	Seller - revenue accountant	2026-07-02	Not received	Open	The material right judgment stays open, and any allocation to the option
IR-096	Confirmation of	Seller - treasury	2026-07-03	Received - under	Pending	If release depends

Request	Description	Owner	Requested	Received	Status	Effect if unresolved
	restricted cash release conditions			review		on milestones beyond closing the balance stays outsid
IR-099	Reconciliation of the fixed asset register to the ledger	Seller - controller	2026-07-03	Not received	Open	Depreciation in the earnings measure cannot be tied to the register, whi
IR-103	Change request pricing for the Vantage additional units	Seller - commercial	2026-07-06	Not received	Open	Variable consideration arising after the cut-off cannot be estimated, so
IR-107	Detail of the FY2026 discretionary bonus by participant	Seller - HR director	2026-07-06	Partially received	Open	The pre-closing service period allocation supporting debt-like treatment
IR-115	Vendor statements for the ten largest suppliers	Seller - accounts payable	2026-07-07	Partially received	Open	Accrual completeness testing coverage falls below the planned level for

5. Operating expense normalization and run-rate

Run-rate conclusions here rest on signed offer letters and contractual commitments rather than on annualizing whichever month happens to be most recent. Taken alone,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. In review,, bank reconciliations are prepared monthly and reviewed, but three months carry unexplained items that were carried forward rather than cleared.

ADJ-16 concerns pro forma savings from the renegotiated hosting contract and was raised by management as a pro forma item. On inspection,, a renegotiated committed-use agreement lowers unit hosting rates from May 2026, and management annualizes the saving against trailing volumes. On Pro forma savings from, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. Pro forma savings from is recorded as a add-back of $204,000 in Q2-2026, evidenced by the executed hosting agreement dated 2026-04-30 and a management savings model. Pro forma savings from was reduced at $121,000 and the reason sits on the schedule itself. In the event, a further item, ADJ-34, Capitalized cloud configuration cost, which deducts $97,200 against FY2025 on a reclassification basis. By agreement,, configuration work on a hosted platform was capitalized although the tickets describe implementation and data migration activity rather than the development of a new asset. Support consists of the internal-use software addition schedule and the underlying engineering tickets, and the item was put forward by diligence. Capitalized cloud configuration cost was reduced at $61,400 and the reason sits on the schedule itself. On Capitalized cloud configuration cost, no projection was made from this item because it arises from a single identifiable event. ADJ-31 concerns prepaid maintenance expensed on payment and was raised by diligence as a reclassification item. In review,, a twenty-four month maintenance contract was expensed when paid, front-loading cost into 2024 and leaving later periods understated. On Prepaid maintenance expensed on, the conclusion rests on a document produced by a third party rather than by the company. Prepaid maintenance expensed on is recorded as a deduction of $46,900 in FY2024, evidenced by the vendor contract term, the payment advice and the prepaid schedule. Prepaid maintenance expensed on was accepted at $46,900: the contract term is explicit and the prepaid schedule shows no corresponding asset, so the misstatement is a matter of arithmetic rather than judgment.

ADJ-02 concerns financing and diligence legal fees and was raised by management as a non-recurring item. On any view,, the fees relate to financing preparation and diligence response rather than to running the business, and the engagement letters scope the work accordingly. On Financing and diligence legal, the item is cross-referenced to the corresponding entry in the information request register. Financing and diligence legal is recorded as a add-back of $318,455 in LTM Jun-2026, evidenced by three law-firm invoices coded to outside professional fees, with engagement letters. Financing and diligence legal was reduced at $291,200: one invoice bundles routine commercial contract review

with transaction work, and the reviewer left the commercial portion in reported results. In the event, management proposed ADJ-32 at $120,000 for FY2024, described as management fee charged by the founder holding entity. In substance,, a flat monthly fee charged by a founder-controlled entity covers services partly replaced by the company's own finance team since mid-2024. Management fee charged by was reduced at $74,000 and the reason sits on the schedule itself. Management fee charged by carries a recurrence judgment of normalization, and the supporting file is the intercompany invoice series and the services description in the shared services memorandum. On Management fee charged by, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. ADJ-35 concerns foreign exchange loss on the ontario deployment payables and was raised by management as a normalization item. As to the facts,, management treats translation losses on Canadian supplier balances as outside operating performance. On Foreign exchange loss on, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. Foreign exchange loss on is recorded as a add-back of $24,830 in FY2025, evidenced by the currency revaluation report and the two Canadian supplier invoices. Foreign exchange loss on was rejected outright: the company buys deployment materials in Canadian dollars every quarter without hedging, so exchange movement is an ordinary feature of this cost base in both directions.

From the extract, diligence proposed ADJ-10 at $213,800 for FY2025, described as deployment labour capitalized in error. In the file,, field crew hours spent commissioning customer sites were added to internal-use software rather than expensed, understating cost of deployment services in the year the work was performed. Deployment labour capitalized in was accepted at $213,800: the timesheets identify customer sites rather than internal projects, so the cost belongs in operating results. Deployment labour capitalized in carries a recurrence judgment of reclassification, and the supporting file is the fixed asset addition schedule traced to timesheets for four deployment crews. On Deployment labour capitalized in, the amount was agreed to the underlying system extract without a residual difference. As matters stand, diligence proposed ADJ-03 at $27,315 for FY2025, described as reversal of a duplicated freight accrual. On any view,, freight for two November shipments was accrued twice, once from the shipping manifest and once from the carrier invoice, so reported cost was understated when the accrual reversed in December. Reversal of a duplicated was accepted at $27,315: the duplication is arithmetically demonstrable from the two source documents and management did not contest it. Reversal of a duplicated carries a recurrence judgment of normalization, and the supporting file is the November 2025 accrual workpaper compared against the carrier statement. On Reversal of a duplicated, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. ADJ-33 concerns penalty interest on the late equipment finance instalment and was raised by diligence as a non-recurring item. On the documents,, a missed instalment during the July 2025 treasury transition triggered penalty interest that is not part of the ordinary financing cost of the facility. On Penalty interest on the, the item is presented gross so that a reader can rebuild the measure from reported results. Penalty interest on the is recorded as a add-back of $18,460 in FY2025, evidenced by the lender's arrears notice and the loan statement for July 2025. Penalty interest on the was accepted at $18,460: the arrears notice quantifies the penalty separately from contractual interest and the payment history shows no repetition.

6. Representations obtained and the evidence behind each one

Several conclusions in this file rest in part on what management told the reviewer, and the reviewer distinguishes those from conclusions supported by documents. On the substance,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure. On the merits,, the standalone selling price analysis supporting allocation on the bundled contracts has not been provided, and the revenue split between obligations on those contracts is therefore unverified.

In this stream,, management represented that all engagement letters for adviser fees exist, but two invoices remain unsupported after two requests. On the evidence,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure. On the papers,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. On its facts, management proposed ADJ-30 at $63,750 for Q1-2026, described as relocation and immigration cost for two senior hires. On the substance,, two senior engineering hires carried relocation and immigration cost that management characterizes as a hiring event rather than an ongoing expense. Relocation and immigration cost was reduced at $41,500: the reviewer allowed the immigration component, which is genuinely episodic, and left relocation in reported cost because the company relocated hires in each of the three years reviewed. Relocation and

immigration cost carries a recurrence judgment of non-recurring, and the supporting file is relocation vendor invoices and the two executed offer letters. On Relocation and immigration cost, the amount was agreed to the underlying system extract without a residual difference.

On the papers,, the engagement is analytical and evidence-based rather than an audit, a review or an examination, and no opinion or assurance conclusion is expressed on any period or balance. On the merits,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report. On inspection,, ranges are used where evidence supports a range, and the low end of a range is used when the reviewer must choose a single figure for a schedule. By agreement, testing covered ADJ-23, Duplicate software subscriptions during the tooling consolidation, which adds back $57,450 against FY2025 on a non-recurring basis. In detail,, two observability platforms ran in parallel for five months while the engineering team consolidated tooling, and the superseded contract was cancelled in October 2025. Support consists of vendor invoices for two overlapping licence terms and the cancellation confirmations, and the item was put forward by management. Duplicate software subscriptions during was accepted at $57,450: the cancellation confirmations establish that the duplicated cost has ended and the overlap window is documented. On Duplicate software subscriptions during, the amount was agreed to the underlying system extract without a residual difference.

In this stream,, management represented that the extended warranty added to one contract is immaterial as a separate performance obligation, without providing a quantification. By agreement,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. Per the index,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. ADJ-25 concerns insurance premium refund on the cancelled cargo policy and was raised by diligence as a non-recurring item. In the file,, a cargo policy cancelled mid-term generated a premium refund credited to insurance expense, reducing reported cost in a period where coverage continued under a replacement policy. On Insurance premium refund on, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. Insurance premium refund on is recorded as a deduction of $31,200 in FY2024, evidenced by the broker credit advice and the policy cancellation endorsement. Insurance premium refund on was accepted at $31,200 and the reason sits on the schedule itself.

Per the index,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. As to the facts,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent. On any view,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. In review, diligence proposed ADJ-24 at $62,900 for H2-2025, described as deferred revenue haircut on the harborline pilot. As to the facts,, pilot fees were recognized on invoice rather than across the pilot period, which pulled revenue into the second half of 2025 ahead of the service delivery it paid for. Deferred revenue haircut on was accepted at $62,900: the acceptance certificate dates the service window and the extract shows the invoice preceded it by eleven weeks. Deferred revenue haircut on carries a recurrence judgment of normalization, and the supporting file is the pilot agreement, the acceptance certificate and the billing extract. On Deferred revenue haircut on, the item was traced from the summary schedule through the sub-ledger to the source document.

Schedule 15.4 - Working capital peg sensitivity

Definition variant	Included	Excluded	Computed level ($)	Difference vs reference ($)	Comment
Trailing twelve-month average	All trade and other working capital	Cash, debt, deferred consideration	4,416,699	678,722	Adopted as the reference definition
Trailing six-month average	All trade and other working capital	Cash, debt, deferred consideration	3,621,398	(116,579)	Rejected as too sensitive to a single month
Quarter-end average of four quarters	Trade balances only	Prepaid transaction costs	3,175,731	(562,246)	Rejected as too sensitive to a single month
Month-end average excluding December	All trade and other working capital	Seasonal December inventory build	3,408,890	(329,087)	Preferred by the seller
Trailing twelve months excluding	Trade balances and inventory	Deferred revenue, customer deposits	3,099,984	(637,993)	Not supportable without the missing

Definition variant	Included	Excluded	Computed level ($)	Difference vs reference ($)	Comment
deferred revenue					count sheets
Trailing twelve months excluding unbilled	Trade balances and inventory	Unbilled receivables	3,251,877	(486,100)	Not supportable without the missing count sheets
Median of trailing twelve month-ends	All trade and other working capital	Cash, debt, tax balances	3,139,190	(598,787)	Presented for sensitivity only
Latest three months average	All trade and other working capital	Cash, debt, tax balances	4,103,769	365,792	Adopted as the reference definition
Trailing twelve months, revolver excluded	All trade and other working capital	Revolver borrowings	3,180,212	(557,765)	Presented for sensitivity only
Trailing twelve months, PTO excluded	All trade and other working capital	Unfunded paid time off	3,952,035	214,058	Preferred by the buyer
Trailing twelve months, credits excluded	All trade and other working capital	Customer credits owed	4,242,982	505,005	Not supportable without the missing count sheets
Trailing twelve months, bonus excluded	All trade and other working capital	Accrued discretionary bonus	4,343,802	605,825	Adopted as the reference definition
Trailing twelve months, gross basis	All balances including intercompany	None	3,598,064	(139,913)	Rejected as too sensitive to a single month
Trailing twelve months, Ontario excluded	Parent company balances only	Ontario subsidiary balances	3,454,606	(283,371)	Preferred by the buyer
Seasonally adjusted twelve-month average	All trade and other working capital	Cash, debt, seasonal peak	3,124,460	(613,517)	Preferred by the seller
Contractual definition as drafted	As listed in the draft definition	As listed in the draft definition	3,569,133	(168,844)	Preferred by the buyer

7. Reviewer disposition: accepted, reduced and rejected items

A rejection is only useful to a reader if the reason is stated, so each refused item carries the specific fact that defeated it. On the documents,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. On testing,, the engineering ticket population supporting capitalization decisions was provided in extract form and the reviewer could not confirm that the extract is complete.

Per the workpaper, the tie-out includes ADJ-07, Cloud hosting overage during the Crestline migration, which adds back $128,940 against H2-2025 on a non-recurring basis. On the record,, parallel-running the old and new fleet telemetry stacks doubled hosting cost for four months while the migration completed. Support consists of the hosting provider's invoice detail by project tag for September to December 2025, and the item was put forward by management. Cloud hosting overage during was reduced at $79,500: the reviewer accepted only the duplicated environment cost; the remainder reflects volume growth that persists after cutover. On Cloud hosting overage during, the item was traced from the summary schedule through the sub-ledger to the source document. ADJ-06 concerns recruiting fees for the replacement operations leader and was raised by management as a normalization item. By agreement,, management treats executive search cost as an event cost tied to the departure rather than an ongoing expense. On Recruiting fees for the, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. Recruiting fees for the is recorded as a add-back of $74,600 in FY2025, evidenced by the search-firm invoice and the executed offer letter. Recruiting fees for the was rejected outright: the company filled six senior roles through retained search across the review period, so search fees are a recurring feature of this cost base. ADJ-17 concerns founder-owned property sublease above market and was raised by diligence as a normalization item. On the papers,, a related-party sublease priced above the range indicated by comparable space inflates occupancy cost relative to what a buyer would pay at renewal. On Founder-owned property sublease above, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. Founder-owned property sublease above is recorded as a add-back of $43,200 in FY2024, evidenced by the sublease agreement and two broker opinions on comparable industrial space. Founder-owned property sublease above was reduced at $27,600: the reviewer used the lower of the two broker opinions and confined the adjustment to the portion of the year the sublease was in force.

In sequence, also on the schedule is ADJ-18, Inventory obsolescence charge on the first-generation chassis, which adds back $267,500 against FY2024 on a non-recurring basis. In detail,, an engineering change notice retired the first-generation chassis and management wrote down the remaining stock in a single charge. Support consists of the obsolescence provision workpaper and the engineering change notice, and the item was put forward by management. Inventory obsolescence charge on was reduced at $168,000 and the reason sits on the schedule itself. On Inventory obsolescence charge on, the reviewer confirmed the amount does not also sit within the working capital peg. Per the index, next in sequence is ADJ-20, Unfunded paid time off accrual movement, which deducts $84,300 against LTM Jun-2026 on a normalization basis. On the record,, the PTO liability grew as headcount rose without a corresponding expense charge because the accrual was maintained on a cash-settlement basis. Support consists of the PTO liability rollforward and the human resources balance report, and the item was put forward by diligence. Unfunded paid time off was accepted at $84,300: the liability rollforward isolates the movement and management agreed the accrual policy understated the period charge. On Unfunded paid time off, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. On the source, management's workpaper presents ADJ-09, Stock compensation expense, which adds back $1,247,300 against LTM Jun-2026 on a normalization basis. At the cut-off,, non-cash share-based compensation measured under FASB ASC Topic 718 is removed to reach a cash earnings measure, consistent with how the lenders in the process model the business. Support consists of the equity administrator's expense report reconciled to the payroll and equity ledgers, and the item was put forward by management. Stock compensation expense was accepted at $1,247,300: the expense agrees between the equity administrator's report and the general ledger, and no portion was settled in cash during the period. On Stock compensation expense, the reviewer notes that management agreed the facts while reserving its position on the treatment.

On the papers, management proposed ADJ-14 at $154,900 for FY2024, described as bad debt write-off on the dunbar industrial receivable. On any view,, the customer entered an assignment for benefit of creditors in October 2024 and the balance was written off in full. Bad debt write-off on was reduced at $118,400 and the reason sits on the schedule itself. Bad debt write-off on carries a recurrence judgment of non-recurring, and the supporting file is the write-off approval memorandum and the customer's bankruptcy notice. On Bad debt write-off on, the reviewer confirmed the amount does not also sit within the working capital peg. On the merits, diligence proposed ADJ-34 at $97,200 for FY2025, described as capitalized cloud configuration cost. On the merits,, configuration work on a hosted platform was capitalized although the tickets describe implementation and data migration activity rather than the development of a new asset. Capitalized cloud configuration cost was reduced at $61,400 and the reason sits on the schedule itself. Capitalized cloud configuration cost carries a recurrence judgment of reclassification, and the supporting file is the internal-use software addition schedule and the underlying engineering tickets. On Capitalized cloud configuration cost, the item was projected across the population on the basis stated in the accompanying schedule. In the file, diligence proposed ADJ-03 at $27,315 for FY2025, described as reversal of a duplicated freight accrual. On the source,, freight for two November shipments was accrued twice, once from the shipping manifest and once from the carrier invoice, so reported cost was understated when the accrual reversed in December. Reversal of a duplicated was accepted at $27,315: the duplication is arithmetically demonstrable from the two source documents and management did not contest it. Reversal of a duplicated carries a recurrence judgment of normalization, and the supporting file is the November 2025 accrual workpaper compared against the carrier statement. On Reversal of a duplicated, the explanation offered was plausible and was still corroborated against a document before being accepted.

On the documents, management proposed ADJ-02 at $318,455 for LTM Jun-2026, described as financing and diligence legal fees. Per the workpaper,, the fees relate to financing preparation and diligence response rather than to running the business, and the engagement letters scope the work accordingly. Financing and diligence legal was reduced at $291,200: one invoice bundles routine commercial contract review with transaction work, and the reviewer left the commercial portion in reported results. Financing and diligence legal carries a recurrence judgment of non-recurring, and the supporting file is three law-firm invoices coded to outside professional fees, with engagement letters. On Financing and diligence legal, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. In this stream, management proposed ADJ-39 at $112,500 for H2-2025, described as legal settlement with a former contractor. As to the facts,, a wage classification claim brought by a former field contractor settled in November 2025 for a single payment with no continuing obligation. Legal settlement with a was accepted at $112,500: the settlement agreement releases all claims and counsel confirmed no related matters remain, so no recurring cost follows.

Legal settlement with a carries a recurrence judgment of non-recurring, and the supporting file is the settlement agreement, counsel's closing memorandum and the payment advice. On Legal settlement with a, the reviewer confirmed that the same item does not also appear on the net debt schedule. On inspection, among the larger items is ADJ-05, Severance for the departed VP of Operations, which adds back $186,400 against FY2025 on a non-recurring basis. Taken alone,, the separation payment was a single negotiated settlement and the role was refilled at a lower base salary in November 2025. Support consists of the separation agreement and the payroll register for August and September 2025, and the item was put forward by management. Severance for the departed was accepted at $186,400: the agreement fixes both the amount and the payment dates, and the successor's offer letter supports the lower run-rate. On Severance for the departed, the evidence was inspected in original form rather than as a management-prepared summary.

Schedule 15.5 - Headcount and committed cost by function

Function	Filled	Open	Annualized cost ($)	Vacancy effect ($)	Contractual commitment	Run-rate view
Engineering - platform	9	2	1,526,676	92,525	One retained search in progress	Hold at current cost
Engineering - motion	2	1	1,016,785	112,976	No commitments beyond current staff	Annualize including signed offers
Engineering - safety	27	1	446,360	5,313	Backfill required by contract	Annualize current staff
Engineering - test	7	4	2,619,058	317,461	Approved but not yet advertised	Hold at current cost
Field deployment crews	19	2	3,675,958	116,697	One retained search in progress	Annualize excluding vacancies
Field service	7	4	2,201,469	266,844	Approved but not yet advertised	Annualize current staff
Remote operations	12	2	2,664,734	126,892	One retained search in progress	Annualize current staff
Supply chain	20	3	3,243,689	141,029	Contractor cover in place pending a hire	Hold at current cost
Manufacturing	6	0	3,762,486	0	One retained search in progress	Annualize including signed offers
Quality	25	5	3,276,824	182,045	One retained search in progress	Hold at current cost
Sales - enterprise	20	5	526,496	35,099	Approved but not yet advertised	Annualize including signed offers
Sales - mid-market	24	5	3,236,755	186,020	Approved but not yet advertised	Hold at current cost
Sales operations	22	1	1,488,914	21,578	Contractor cover in place pending a hire	Hold at current cost
Marketing	17	4	3,066,600	194,704	Approved but not yet advertised	Annualize excluding vacancies
Customer success	16	5	2,678,624	212,589	Two signed offers with start dates in the next quarter	Annualize including signed offers
Finance	19	2	1,811,148	57,496	Backfill required by contract	Annualize excluding vacancies
People and talent	24	5	542,014	31,150	Approved but not yet advertised	Annualize excluding vacancies
Legal and compliance	28	2	2,226,504	49,477	Approved but not yet advertised	Annualize including signed offers
IT and security	2	3	3,780,559	756,111	Approved but not yet advertised	Hold at current cost
Executive	5	2	3,232,553	307,862	Contractor cover in place pending a hire	Annualize current staff

8. Open items and outstanding information requests

Open items are the most negotiated part of a diligence record, so each carries the effect if unresolved rather than only its status. On testing,, capitalization decisions were documented at project level rather than at ticket level until the control change made in April 2026. On the documents,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent.

On the merits, the seller - commercial holds IR-111, support for the liquidated damages waiver on redbank, requested 2026-07-07. In the event,, the amendment accounting remains open, and both the accrual and the waiver may move between periods. On support for the liquidated, as at the date of this file material was provided on 2026-07-13 and the item is received - under review. For support for the liquidated, the file records the question asked, the answer given and the document that settled it. On its facts, also open is IR-107, detail of the fy2026 discretionary bonus by participant, addressed to the seller - hr director and requested on 2026-07-06; the response is partially received. The status is recorded as open. In sequence,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced. For detail of the fy2026, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. IR-078 asks for journal entry extract with preparer and approver fields. The request for journal entry extract with was raised on 2026-06-30 with the seller - systems administrator and material was provided on 2026-07-04, leaving the item closed. For journal entry extract with, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. On the record,, the extract enabled the exception testing; approver fields are blank for a subset of entries, which is itself the finding.

On this point, the reviewer requested IR-019, retention agreements underpinning the larkspur earn-out, addressed to the seller - counsel and requested on 2026-06-18; the response is partially received. The status is recorded as open. By reference,, the split between fixed deferred consideration and retention-contingent amounts cannot be finalized, so part of the balance stays in a range. For retention agreements underpinning the, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. Per the workpaper, the seller - commercial holds IR-103, change request pricing for the vantage additional units, requested 2026-07-06. As matters stand,, variable consideration arising after the cut-off cannot be estimated, so the post-cut-off revenue trend is qualified. On change request pricing for, as at the date of this file nothing has been provided and the item is open. For change request pricing for, the reviewer recorded that no comparable item was found in the two earlier periods examined. In the event, the seller - finance director holds IR-041, engagement letters for all adviser fees in the period, requested 2026-06-23. On the papers,, two invoices remain unsupported, so the split between transaction and ordinary-course professional fees is provisional. On engagement letters for all, as at the date of this file the response is partially received and the item is open. For engagement letters for all, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference.

Per the register, the seller - deployment lead holds IR-014, signed acceptance certificate for crestline site three, requested 2026-06-18. On the evidence,, without a dated certificate the transfer month rests on the installer's log, leaving a month of hardware revenue in the wrong period. On signed acceptance certificate for, as at the date of this file nothing has been provided and the item is open. For signed acceptance certificate for, the reviewer declined to net this item against another with an opposite direction in the same period. As to the facts, among the open matters is IR-067, supplier settlement letter for the harness rework recovery, addressed to the seller - procurement and requested on 2026-06-29; material was provided on 2026-07-02. The status is recorded as closed. On the evidence,, the letter confirmed the recovery amount and allowed the campaign to be presented on a net basis. For supplier settlement letter for, the reviewer recorded that no comparable item was found in the two earlier periods examined. IR-059 asks for hosting agreement effective 2026-04-30 with the rate card. The request for hosting agreement effective 2026-04-30 was raised on 2026-06-26 with the seller - it director and material was provided on 2026-06-30, leaving the item closed. For hosting agreement effective 2026-04-30, the item was projected across the population on the basis stated in the accompanying schedule. On this point,, the agreement supported the contractual portion of the hosting savings and allowed the rest to be rejected.

In review, the seller - company secretary holds IR-034, board minutes evidencing the december 2024 bonus decision, requested 2026-06-20. Per the register,, the minutes record the decision but not the plan terms, so the reviewer relies on management's representation that the bonus remained available. On board minutes evidencing the, as at the date of this file material was provided on 2026-07-08 and the item is received - insufficient. For board minutes evidencing the,

a small residual difference remains and is reported rather than described as immaterial and omitted. On the evidence, the seller - controller holds IR-052, bank statements for the ontario subsidiary for the full period, requested 2026-06-25. In this stream,, two months are missing, so cash proof coverage for the subsidiary is below the level applied to the parent. On bank statements for the, as at the date of this file the response is partially received and the item is open. For bank statements for the, the conclusion would change if the missing supporting document is later produced in a different form. In review, the information request log records IR-049, customer credit and unapplied cash listing at 2026-06-30, addressed to the seller - credit control and requested on 2026-06-24; material was provided on 2026-07-03. The status is recorded as closed. On inspection,, the listing supported the customer credit balance treated as debt-like and reconciled to the aged receivable report. For customer credit and unapplied, the reviewer confirmed the counterparty is not a related party before accepting the document at face value.

Schedule 15.6 - Reported to adjusted earnings bridge

Period and step	Movement ($)	Running total ($)	Note
FY2024 - Reported operating result	0	2,665,034	Non-cash and removed in full
FY2024 - Depreciation and amortization	944,319	3,609,353	Reduced with the reason stated on the schedule
FY2024 - Share-based compensation	900,564	4,509,917	Reduced with the reason stated on the schedule
FY2024 - Accepted non-recurring items	936,570	5,446,487	Non-cash and removed in full
FY2024 - Accepted normalizations	(301,062)	5,145,425	Reduced with the reason stated on the schedule
FY2024 - Accepted run-rate items	336,304	5,481,729	Rejected with the reason stated
FY2024 - Reduced items at the accepted amount	(301,853)	5,179,876	Sum of the preceding lines
FY2024 - Rejected items (no effect)	0	5,179,876	Rejected with the reason stated
FY2024 - Adjusted earnings measure	0	5,179,876	Rejected with the reason stated
FY2025 - Reported operating result	0	4,200,322	Excluded from the earnings measure
FY2025 - Depreciation and amortization	1,024,015	5,224,337	Reduced with the reason stated on the schedule
FY2025 - Share-based compensation	906,850	6,131,187	Excluded from the earnings measure
FY2025 - Accepted non-recurring items	949,833	7,081,020	Per the statutory ledger
FY2025 - Accepted normalizations	(464,216)	6,616,804	Non-cash and removed in full
FY2025 - Accepted run-rate items	437,988	7,054,792	Per the statutory ledger
FY2025 - Reduced items at the accepted amount	123,275	7,178,067	Excluded from the earnings measure
FY2025 - Rejected items (no effect)	0	7,178,067	Reduced with the reason stated on the schedule
FY2025 - Adjusted earnings measure	0	7,178,067	Per the statutory ledger
LTM Jun-2026 - Reported operating result	0	2,636,164	Rejected with the reason stated
LTM Jun-2026 - Depreciation and amortization	(349,522)	2,286,642	Non-cash and removed in full
LTM Jun-2026 - Share-based compensation	586,490	2,873,132	Per the statutory ledger
LTM Jun-2026 - Accepted non-recurring items	(314,457)	2,558,675	Excluded from the earnings measure
LTM Jun-2026 - Accepted normalizations	936,103	3,494,778	Sum of the preceding lines
LTM Jun-2026 - Accepted run-rate items	784,571	4,279,349	Rejected with the reason stated
LTM Jun-2026 - Reduced items at the accepted amount	1,211,945	5,491,294	Excluded from the earnings measure
LTM Jun-2026 - Rejected items (no effect)	0	5,491,294	Per the statutory ledger
LTM Jun-2026 - Adjusted earnings measure	0	5,491,294	Excluded from the earnings measure

9. Scope limitations and matters the reviewer could not resolve

The reviewer has not tidied away the unresolved items; each is recorded with the conclusion it affects and the evidence that would close it. On reperformance,, recurrence is judged on evidence about the future obligation rather than on whether the cost is unusual, which is why several items management called one-time were rejected. Against the ledger,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed.

On inspection,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. On testing,, where a normalization depends on an assumption about future negotiation, the reviewer declines the adjustment and discloses the exposure instead. In the file,, period attribution is decided from the document that fixes the service period, not from the invoice date, wherever the two differ. Per the index, the seller - accounts payable holds IR-115, vendor statements for the ten largest suppliers, requested 2026-07-07. In detail,, accrual completeness testing coverage falls below the planned level for three suppliers. On vendor statements for the, as at the date of this file the response is partially received and the item is open. For vendor statements for the, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result.

In the event,, inventory quantities rest on perpetual records because the reviewer did not observe the June 2026 count and the count sheets were only partially made available. On any view,, subsequent events to 2026-07-16 were reviewed only for their bearing on balances and periods within scope. As to the facts,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. In detail, the seller - hr director holds IR-107, detail of the fy2026 discretionary bonus by participant, requested 2026-07-06. As to the facts,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced. On detail of the fy2026, as at the date of this file the response is partially received and the item is open. For detail of the fy2026, the reviewer confirmed that the same item does not also appear on the net debt schedule.

On any view,, journal approval operates through a workflow field that can be left blank, and the reviewer found it blank on entries with a material aggregate value. From the extract,, post-cut-off trading was reviewed only to July 2026 and only for evidence bearing on balances at the cut-off; it is not a basis for any forward projection. On the papers,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. IR-081 asks for inventory count sheets for the june 2026 physical count. The request for inventory count sheets for was raised on 2026-07-01 with the seller - operations and the response is partially received, leaving the item open. For inventory count sheets for, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. By agreement,, count coverage of the spares pool cannot be confirmed, so inventory in the working capital peg rests on the perpetual records.

On the substance,, management prepares monthly reporting on a basis that differs from the statutory ledger in three respects, each of which is identified and removed before any analysis begins. Taken alone,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. In substance,, no procedures were performed on income taxes beyond identifying the exposures listed, and no view is expressed on the recoverability of any deferred tax balance. On its facts, the reviewer requested IR-038, warranty claim detail by chassis generation, addressed to the seller - service manager and requested on 2026-06-23; material was provided on 2026-07-01. The status is recorded as closed. On the record,, the detail supported the recalculated accrual rate and the adjustment was agreed at the lower of the two estimates. For warranty claim detail by, no projection was made from this item because it arises from a single identifiable event.